



COVER STORY • **ARTIFICIAL INTELLIGENCE**

THE AI THREAT

India's IT outsourcing firms are gearing up to meet the AI challenge by reducing their dependence on labour arbitrage and focusing on other core strengths

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- ➔ The future is human-plus-AI. This shift will disrupt India's traditional mass-hiring model, especially in view of post-pandemic over-hiring
- ➔ Experts say India should not bet everything on large language models and embrace the open source. Small language models are more affordable and specific to firms' domain functions
- ➔ India may rely on imported high-end chips for now, but can compete in solutions—building proprietary, domain-specific models & apps
- ➔ AI is also emerging as a force to strengthen governance and enhance citizens' quality of life, especially in healthcare and sustainable agriculture